

Welcome to part 2, at this part, I will introduce the historical development of cryptocurrencies and exchanges.

Firstly, I want to ask a question that do you guys hear about the bitcoin or take part in the trade of the bitcoin? Nice, bitcoin is the most representative cryptocurrency. I will use Bitcoin as an example to show you the history of the cryptocurrency. Bitcoin first appeared in Satoshi Nakamoto's white paper in 2008, he proposed a peer-to-peer electronic system. the year after that year, the bitcoin network went live. It is a decentralized(去中心化) digital currency and not be controlled by any government or organization. the design of bitcoin is combined the former academic ideas, such as digital signatures, with the new blockchain system. It uses the computational proof of work to ensure security, allowing strangers to trade without trust. in the early years, bitcoin have little value. The most famous stories is that someone paid 10000 bitcoin for two pizzas. I think it maybe the most expensive pizza in the world. This trade in this stories established the foundation transcation of bitcoin, finially found the a community of miners and developers who kept the network running. After that Bitcoin slowly gained attention as a new form of money. All right, lets come to the milestone and technological evolutions. Bitcoin first major price increase is in 2013. In the first picutre , you can see that the price of bitcoin rocketed from about 150 dollars to over 1000 dollars within two months, which drew global attention to cryptocurrencies. This rapid rise and followed crash highlighted the extreme volatility and foreshadowed the speculative cycles to come. Almost at the same time, hundreds of alternative cryptocurrencies began to appear. By mid-2017, By mid-2017, the cryptocurrency market had exploded – over 1,400 cryptocurrencies had been introduced between 2013 and 2017, and the total crypto market capitalization exceeded 100 billion dollors for the first time. New platforms like Ethereum (launched 2015) expanded blockchain technology beyond currency, enabling smart contracts and decentralized applications. These innovations marked a shift from Bitcoin as a singular experiment to a diverse crypto ecosystem. By 2021, the market had grown further into the trillions, with major financial institutions and even governments taking note of crypto's potential impact. Ok, let us move to the rise of cryptocurrency exchanges. As cryptocurrencies grew, exchanges became critical infrastructure. Initially, trading was informal, such as small marketplaces, but in July 2010, the Mt. Gox exchange launched in Japan and quickly became the world's leading Bitcoin exchange. By 2012, Mt. Gox handled over 80% of all Bitcoin transactions, illustrating how important the exchanges for liquidity and price discovery. However, this early dominance

came to a dramatic end: in early 2014, Mt. Gox collapsed after the loss of 744,000 Bitcoins because of a massive security bug worth about 450 million dollars at that time.

The Mt. Gox incident was a milestone – it eroded trust and highlighted the need for better security and oversight of exchanges. After this accident, other exchanges filled the void: regional platforms like BTC China, Bitstamp. They learned from Mt. Gox's failings. By March 2015, a handful of exchanges, such as BTC China, OKCoin, Huobi, Bitfinex, Bitstamp, etc., handled 95% of Bitcoin trading. In the following years, exchange services were further professionalized. For example, Coinbase in the US offered a regulated platform catering to retail users, while Binance, founded in 2017, grew internationally by listing many cryptocurrencies and operating with a more tolerant policy. Binance quickly became the world's largest crypto exchange by trading volume. Today's crypto market relies on dozens of major exchanges (both centralized and decentralized), which have made buying and trading crypto far more accessible than in Bitcoin's infancy.

Cryptocurrencies have evolved from a cypherpunk curiosity to a global financial phenomenon in just over a decade. Bitcoin's invention sparked a wave of technological and market innovation, giving rise to thousands of new coins and a robust exchange ecosystem. As of 2021, about 8,800 cryptocurrencies were being traded across over 300 exchanges worldwide. The journey has been marked by rapid growth and challenges. These key historical milestones – from Bitcoin's early adoption and first price bubble, to the Mt. Gox collapse, to the development of altcoins and modern exchanges – have each taught lessons that shaped today's crypto landscape. Frameworks of Regulations are still catching up, aiming to decrease risks without diminish innovation, and security practices continue to improve after learning from past failures. The history of cryptocurrency is still being written, but its

origin, milestones, exchange evolution, and the ongoing push-pull with regulation – provides a rich story of financial innovation in real time. As we move forward, understanding this history is crucial to navigating the future of crypto assets and the digital economy.